

The Wharton School
Venture Capital and Entrepreneurial Management

Caselette # 4: Liquidation Preferences and Anti-Dilution Formulas

HiTech, Inc. is a typical venture-backed technology company that has already raised institutional financing of \$9 million through the sale of its Series A Preferred Stock to two venture capital firms.

HiTech now successfully negotiates a term sheet with World Ventures, a new investor, for its Series B Preferred Stock financing. World Ventures will invest \$4 million for the purchase of 2 million shares of Series B Preferred at a purchase price of \$2.00 per share. The investment of World Ventures is conditioned on the participation of the existing Series A Preferred shareholders in the new round of financing by investing an additional \$1 million in the Series B Preferred at the same price per share. As a result, with both World Ventures and the existing investors investing, there will be an aggregate investment of \$5 million in the Series B Preferred.

Pre-Money HiTech Capitalization

Common Stock

2,000,000 outstanding

600,000 outstanding unvested options

400,000 future option “reserve”

Total: 3,000,000 shares outstanding and/or reserved

Series A Preferred

Good Guys: 2,000,000 outstanding @ \$3.00 per share; total investment \$6,000,000

Wannabe: 1,000,000 outstanding @\$3.00 per share; total investment \$3,000,000

Total: 3,000,000 shares outstanding

Existing Investment Terms of Series A Preferred

The company's board of directors is comprised of five individuals, consisting of two designees of the Series A Preferred (a general partner from each of the Good Guys Venture Fund and Wannabe Ventures), two designees of the common stock, and one "outside" designee, i.e., an individual with no employment or investment affiliations with the company. The holders of the Series A Preferred alone have the right to vote for the two board seats designated to the Series A Preferred; similarly, the holders of the common stock alone have the right to vote for the two board seats designated to the common stock. The holders of both the common stock and the Series A Preferred have the right to vote together for the single board seat designated to the "outside" director.

The Series A Preferred Stock was purchased based on the following terms:

- The holders of the Series A Preferred Stock have a liquidation preference equal to one times (1X) the amount of their investment in the event of any liquidation or sale or merger of the company; and after their liquidation preference has been paid in full, they participate with the common stock in any remaining distribution, pro rata on the basis of the number of shares of common stock issuable upon conversion of the Series A Preferred (see bullet below for conversion ratio). The liquidation preference is applicable to any liquidation or sale or merger of the company.
- The Series A Preferred Stock is initially convertible into common stock on a 1:1 ratio, determined by dividing the per share purchase price (\$3.00) by the initial conversion price (\$3.00); however, the conversion price of the Series A Preferred Stock will be adjusted in the event of a "down round" financing through a customary "broad-based, weighted average" anti-dilution formula.
- Under the company's certificate of incorporation, the company's board of directors cannot proceed with a sale or merger of the company without first securing the vote of more than 50% of the Series A Preferred Stock, voting as a separate class of stock.

Proposed Investment Terms of the Series B Preferred

Among other provisions outlining the terms of the investment, the World Ventures term sheet for the Series B Preferred Stock states the following:

- The holders of the Series B Preferred shall have the right to designate and to vote for one individual to the board of directors (which shall be expanded by one, so that there are a total of six directors).

- The Series B Preferred Stock shall have a non-participating liquidation preference that is senior to the liquidation preference of the Series A Preferred Stock, i.e., its liquidation preference has to be paid before the payment of the liquidation preference of the Series A Preferred. Under the Series B liquidation preference, in the event of any liquidation or sale or merger of the company, the proceeds of such event shall first be distributed to the holders of the Series B Preferred until they have received an amount that is equal to four times (4X) their investment in the company; any then remaining proceeds get distributed to the holders of the Series A Preferred until their original investment has been repaid (1X); and any then remaining proceeds shall be distributed ratably to the holders of the Series A Preferred and the outstanding common stock of the company (per the stated participating liquidation rights of the Series A Preferred).
- The Series B Preferred Stock shall have “full ratchet” anti-dilution protection in the event of a “down round” financing.
- The Series B Preferred Stock is initially convertible into common stock on a 1:1 ratio, determined by dividing the per share purchase price (\$2.00) by the initial conversion price (\$2.00); however, the conversion price of the Series B Preferred Stock will be adjusted in the event of a dilutive financing through a full ratchet anti-dilution formula.

The company’s president contacts you to get your views on the following questions:

1. Is the investment by World Ventures considered an “insider” round? Does the Board of Directors of HiTech have a conflict of interest if they approve the transaction? If the Board is worried about a conflict of interest, what are your thoughts about possible ways to mitigate the conflict?
2. What is the valuation of the company after completion of the Series B Preferred financing? (To answer this question, ignore any adjustments to the conversion price of the Series A Preferred resulting from the application of the anti-dilution formula.)
3. After the completion of the financing, what respective percentages of the company’s fully diluted equity (determined on a common stock equivalent share basis) will be owned by: the common stock (inclusive of the outstanding unvested options and of the future option reserve)? The Series A Preferred? The Series B Preferred? (For purposes of this question, again ignore the anti-dilution protection provisions of the Series A Preferred.)
4. If the Board of Directors receives an offer from Intel Corporation to buy all of the outstanding capital stock of HiTech for a total purchase price of \$50 million, and determines to abandon the Series B Preferred financing in favor of accepting Intel’s offer, explain how the sale proceeds would be allocated between the Series A Preferred and common as separate classes of stock. Assume that no stock options are exercised in connection with the acquisition.

5. If the Series B Preferred financing is completed and then Intel's \$50 million offer to purchase HiTech's outstanding capital is accepted, explain how the sale proceeds would be allocated among the Series B Preferred, the Series A Preferred and the common as separate classes/series of stock. (And for purposes of this question, (i) again ignore the application of the anti-dilution provisions of the Series A Preferred; and (ii) assume that no options are exercised prior to the acquisition.)
6. If you were advising Wannabe Ventures in the negotiation of the terms of the Series A Preferred before the Series A Preferred was issued, how might you revise the Series A Preferred stockholder vote provision to enhance Wannabe's position as an investor relative to the Good Guys Venture Fund?
7. If the Series B financing is completed, illustrate how the conversion ratio of the Series A Preferred will be adjusted as result of the Series B financing, including the number of shares of common stock into which the Series A Preferred will be convertible.
8. After the Series B financing is completed, if HiTech were to issue 50,000 shares of common stock to a vendor for \$1.00 per share, what is the adjustment to the conversion ratio of the Series B Preferred and how many shares of common stock will the Series B Preferred be convertible into?